

WHAT EXACTLY IS THE COMPETITIVE EDGE

We have defined competitive edge as any advantage that a company has over its competitors. **But, at which point does a characteristic of a company turn into a competitive edge?** Following are some key characteristics of competitive edge that will help you make this call:

1. STRUCTURAL IN NATURE

The competitive advantage of a company should not be something that can be eroded overnight. It has to be something that is unassailable, at least in the short term. Let us understand what structural advantages are through three examples.

APPLE



- Various advancements
- Effort in marketing

A new phone will not be able to climb to the same position without a humongous effort or investment.

CHINESE



- Large scale manufacturing
- Average cost
- Selling price

Other companies cannot compete on prices simply because reaching that scale of production is not a piece of cake.

BANGLADESHI



- Labour cost
- Per capita income

Will other companies be able to keep their labour costs as low as Bangladeshi companies? It is not possible for companies from most other countries since Bangladesh has a very low per capita income level.